



January 8, 2019

Eric Cohen
EBC Capital
218 Randolph St, 2nd Floor
Brooklyn, NY 11237

RE: 555 Johnson Ave – Preliminary Construction Assessment

Dear Mr. Cohen,

It is our pleasure to present a preliminary Development and Construction Timeline and Conceptual Budget for the proposed project at 555 Johnson Avenue in Brooklyn, NY. The attached analysis is based on the Design Development Documents prepared by Relativity Architects, dated 12/10/2018, and the scope of work clarifications email dated 12/13/18.

In summary we have found the following:

Projected Timeline:	February 2 nd , 2019 – February 26 th , 2021
Core & Shell Budget:	\$32,365,000
Scope Letter Fit Outs:	\$8,614,000

Please reference the attached Timeline, Budget, and Clarifications/Qualifications for additional breakdown of the above summary values.

It is our opinion that there is significant opportunity to drive the value of this project through targeted value design to drive. Our recommended next steps for engagement include:

- Collectively discuss the budget requirements of this project and work to shape the existing design to fit within those parameters.
- Conduct a GeoTechnical Survey of Existing Soil Conditions, Probes and Test Pits. Better information on the existing conditions will allow a targeted foundation and sub grade approach.
- Assemble the appropriate local consultants to drive an integrated project team to drive efficient design.
- Begin Value Engineering analysis of alternate Building Envelopes, Building Structures, and Finishes
- Review constructability and cost assessment of potential underground work to improve the ratios of vertical structure, Volume/Surface Area, FAR/Rentable Square Feet.

The Schimenti team looks forward to continued engagement and working as part of a collaborative team to produce a completed project that satisfies both the proforma and work scope requirements.

Sincerely,

Charles Esteves
Project Executive

cc: Matthew Schimenti, Schimenti Construction Company, LLC

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Project Timeline

555 Johnson Avenue

EBC Capital

January 8th, 2019



PRELIMINARY PROJECT TIMELINE

Design Kick-off through Construction / TCO

<u>TASK</u>	<u>START</u>		<u>FINISH</u>
1. CM Service Agreement – Start Pre-Construction	2/4/19	to	2/15/19
2. DD/30% CD – Document Review	3/18/19	to	3/29/19
3. Prepare Prelim schedule & bid list for early trades	4/1/19	to	4/12/19
4. DD/30% CD – Prepare budget	4/15/19	to	5/3/19
5. (Option 1. Demo Set, Bidding and Award Demolition –Nov. 2019)	5/6/19	to	5/17/19
6. (Option 2. Building Demolition –Dec, 2019)	6/3/19	to	6/28/19
7. Test pits and additional borings	7/8/10	to	7/19/19
8. CDs Issued for Excavation/SOE/Foundation	8/19/19	to	8/30/19
9. Bidding of Excavation/SOE/Foundation – Updated Dwgs	9/2/19	to	9/13/19
10. 60% CD's Issued and Budgeted	9/16/19	to	9/27/19
11. Award SOE, Excavation, Underpinning/Shoring, Foundation	9/30/19	to	10/15/19
12. Mobilize and Commence SOE/Excavation/Underpinning/Shoring (PAA to be filed with DOB for updated and final DWG)	10/21/19	to	11/8/19
13. 90% CD's issued by the design team	11/11/19	to	11/29/19
14. Bidding of all major trades	12/2/19	to	12/20/20
15. Establish GMP	1/6/20	to	1/31/20
16. Award of Major Trades	2/3/20	to	2/28/20
17. Foundation construction (2 months)	3/2/20	to	5/1/20
18. General Construction to first TCO (Core/Shell) (6 months = 8 month)	5/4/20	to	12/4/20
19. General Construction to Completion (Interior fit) (4 months = 12 month)	11/30/20	to	2/26/21

Conceptual Budget
555 Johnson Avenue
EBC Capital
January 8th, 2019



Schedule of Values

Division	Trade Description	Division Totals	Cost / Sqft	Notes
Core & Shell				
2-000	EXISTING CONDITIONS SUBTOTAL	3,128,000	23.17	
	Demolition Work			
	Utility Work - (Excludes New Services)			
	Earthwork / Piles			
3-000	CONCRETE / PRECAST - SUB TOTAL	6,973,000	51.65	
	Piles at Precast Structure			
	Precast Superstructure			
	Slabs/Foundations			
4-000	MASONRY - SUB TOTAL	3,996,000	29.60	
	CMU Walls			
5-000	STEEL - SUB TOTAL	2,105,000	15.59	
	Structural Steel			
	Misc. Metals			
6-000	WOOD & PLASTICS - SUB TOTAL	168,000	1.24	
7-000	THERMAL & MOISTURE/F.PROOFING - SUB TOTAL	3,062,000	22.68	
	Sprayed Fireproofing - Studio Only			
	Waterproofing at Foundations/Roof Pavers			
	Expansion Joint Assemblies at Building to Remain			
	EIFS			
	Roof Pavers			
	Roofing			
8-000	DOORS AND WINDOWS - SUB TOTAL	460,000	3.41	
	Doors/ Frames/Hardware			
	Exterior Glass/Glazing/Storefront			
	Overhead/Elephant Doors			
9-000	FINISHES - SUB TOTAL	303,000	2.24	
	Painting/Coating at Exterior			
10-000	SPECIALTIES - SUB TOTAL	25,000	0.19	
	Fire Extinguishers			
	Laminated Lockers			
	EQ/AC and AP Specialties			
	Window Treatments			
11-000	EQUIPMENT - SUB TOTAL	-	0.00	
	-			
12-000	FURNISHINGS - SUB TOTAL	-	0.00	

Schedule of Values

Division	Trade Description	Division Totals	Cost / Sqft	Notes
14-000	ELEVATORS & LIFTS - SUB TOTAL	427,000	3.16	
	Elevators and Lifts			
15-000	MECHANICAL - SUB TOTAL	4,258,000	31.54	
	Fire Protection (Sprinkler)			
	Plumbing			
	HVAC			
16-000	ELECTRICAL - SUB TOTAL	3,260,000	24.15	
	Service			
	Electrical			
	Fire Alarm			
	Construction Sub Total	\$ 28,165,000	208.63	
17-000	GENERAL CONDITIONS			
	Pre-Construction Services			
	Staffing			
	Reimbursables			
	General Conditions Sub Total	\$ 2,198,000	16.28	
18-000	INSURANCES/FEES/BONDS			
	Construction Contingency			Excluded
	Overhead and Profit			
	Builder's Risk Insurance			Excluded
	Subcontractor Default Insurance			(In lieu of Bonding)
	Contractors Liability Insurance			
	General Requirements - Insurance & Fee	\$ 2,002,000	14.83	
	Core & Shell Total Construction Budget	\$ 32,365,000	239.74	
Fit Out Sub Totals per the Scope of Work Letter				
	Studio Space & Accessory Rooms	4,148,000		
	Mill Shop	476,000		
	Restrooms	-		Incl in Core & Shell
	Production Offices	3,990,000		
	Fit Out Sub Total	\$ 8,614,000	81.42	
	Core & Shell + Fit Out Grand Total	\$ 40,979,000	303.55	

Clarifications & Qualifications

555 Johnson Avenue

EBC Capital

January 8th, 2019



Qualifications & Clarifications

Proposal Qualifications:

1. Inclusions:

1. Labor Type –Open Shop
2. Work Hours-Based on work shift of 7am-3:30pm.
3. Insurances Included- General Liability.
4. Project Schedule-70 week Active project schedule and 60 weeks of construction.
5. We have included budgeting for a site safety plan and a site safety manager during construction activities.
6. Superintendent will be required to be a NYC licensed superintendent.
7. Temporary barricades/fence and sidewalk bridging at the perimeter of the site is included.
8. Demolition of all buildings/structures within Lots 1, 14, 25, 37 and 49.
9. Piles at parking structure included for up to 30' each and includes compression tests as required by local code.
10. Parking structure/office space consisting of pre-cast concrete planks.
11. Earthwork, utility work, etc. is included. Additional information is required including geotechnical report, hazardous material reporting, soil analytical reports, etc. in order to determine the nature of existing materials, existing grades, proposed grades, proposed underground structures required, etc.
12. Stage 1 and Stage 2 areas are assumed to be poured in place footings/foundations with CMU load bearing walls. Slab include as a 6" SOG with approx. 12" of sub base materials.
13. Exterior walls, stairwell enclosures and elevator shaft walls are included as CMU.
14. Base budget includes steel columns, joist and deck at Stage areas in conjunction with CMU load bearing walls.
15. Waterproofing membrane is included at foundation walls only.
16. We have included for expansion joint assemblies at both horizontal and vertical joints where proposed structures tie in to existing building to remain. (1 location)
17. Storefront/Glasswork is inclusive of office fronts at offices and exterior storefront per the exterior elevations.
18. All doors and frames are qualified as hollow metal frames and hollow metal doors with standard hardware.
19. We have included sprayed fireproofing at metal deck.
20. Per the scope of work we have included for polished floors throughout. Additional information on materials/manufacture is required.
21. We have included for (2) elevators.
22. Based on limited information, Sprinkler, Fire Alarm, Electrical, Plumbing and HVAC work is included based on standard sqft pricing.
23. Budget pricing based on the following documents:
 - A000, A001, A002, A101, A210, A220, A230, A240, A250, A310 and A311 as prepared by Relativity Architects undated.

- T100.00, T101.00, S001.00, S002.00, S003.00 and S004.00 dated 12/10/18 as prepared by Relativity Architects.
- Rough Scope of work issued via e-mail on 12/13/18 from Eric Cohen of EBC Capital.

2. Contract Qualifications:

1. Construction contract is subject to review and mutually agreed upon terms. Schimenti Construction Company reserves the right to have legal counsel review all contract documents prior to entering into a final agreement.

3. Allowances/Alternates:

1. Not applicable at this level of development..

4. Exclusions:

1. Third party testing, controlled inspections, vibration monitoring, permit filing and fees.
2. .
3. Builder's Risk Insurance, Flood Insurance, Protective Liability Insurance and Payment and Performance Bonds unless noted otherwise.
4. All fees associated with local utility companies including tapping fees, usage fees, disconnect fees, Advisory filing fees, DOB permits, etc.
5. Furnishing of any furniture, fixtures and signage.
6. Low voltage Systems & Hardware – ie tel/data, security access, CCTV. Sleeving is included.
7. Sales tax on Labor. We assume we will receive a Capital Improvement Certificate.
8. Asbestos Abatement/Removals/Remediation – We suggest a complete report is prepared to determine if any hazardous materials are present and any of the buildings to be removed.
9. Soil Remediation/Contaminated Materials Handling/Hazardous Materials Handlings – It is recommended that a complete Geotechnical Report be prepared to determine if any hazardous or contaminated materials are present. In addition to the geotechnical report we recommend soil analytical data be provided to determine if soils will require special handling/disposal requirements.
10. Exterior wall at the studios are budgeted as CMU.
11. Site Safety Manager.
12. Underpinning
13. Temp Utility fees for construction.
14. Slab toppings at precast structure.